INSTRUCTIONAL AREA
Economics

BUYING AND MERCHANDISING
TEAM DECISION MAKING EVENT

PARTICIPANT INSTRUCTIONS

(quoted directly from DECA, INC)

- "This event is presented to you through your review of the Career Competencies, Performance Indicators and Event Situation."
- "You have up to 10 minutes to review this information and prepare your presentation. Using the materials provided, you may make notes to use during your presentation."
- "You will have up to 10 minutes to present to the judge(s)."
- "You will be evaluated on your solution to the event situation, how you incorporate the performance indicators of this event and how you demonstrate the career competencies."
- "Turn in all your notes and event materials when you have completed the event."

SOLUTION

- Unique – Demonstrate original thinking, fresh perspectives and an insightful approach.
- Practical – Develop an actionable/viable solution in a real-world context.
- Effective – Develop a solution that achieves relevant outcomes.

CAREER COMPETENCIES

- Critical Thinking – Think critically to understand and solve problems.
- Communication – Communicate clearly, effectively and with reason.
- Decision Making – Consider the impacts of decisions.

PERFORMANCE INDICATORS

1. Discuss the measure of consumer spending as an economic indicator.
2. Explain the principles of supply and demand.
3. Explain how organizations adapt to today's markets.
4. Explain factors that influence customer/client/business buying behavior.
5. Explain the importance of merchandising to retailers.

EVENT SITUATION

You are to assume the roles of the senior apparel buyer and the planning and allocation manager for THREAD & CO., a mid-priced apparel retailer with 85 stores in suburban shopping centers. The general merchandise manager (judge) wants your team to recommend how THREAD & CO. should plan its holiday inventory based on the latest consumer spending data.

The holiday season makes up 32% of THREAD & CO.'s yearly sales. Last year, the retailer bought heavily for the holidays and ended January with $4.1 million in leftover sweaters, outerwear and party wear. That inventory had to be marked down by 50–70%, which hurt profit for the year.

This year's economic reports send mixed signals. National retail sales have been flat for three straight months, and consumer confidence has dropped. Shoppers are still spending, but they are trading down to lower-priced brands, waiting for sales and spending more on experiences like concerts and travel. At the same time, THREAD & CO.'s loyalty members, who make up 40% of sales, have kept buying gifts and basics at a steady pace.

The general merchandise manager (judge) needs a holiday plan before orders are placed next month. Specifically, the general merchandise manager (judge) wants your team to:

- Explain what consumer spending data tells THREAD & CO. about the coming holiday season
- Recommend how much and what type of inventory THREAD & CO. should buy
- Describe how THREAD & CO. should merchandise its stores to drive holiday sales
- Explain how THREAD & CO. can adapt if spending turns out stronger or weaker than expected

You will present your recommendations to the general merchandise manager (judge) in a meeting to take place in the general merchandise manager's (judge's) office. The general merchandise manager (judge) will begin the meeting by greeting you and asking to hear your ideas. After you have presented your recommendations and have answered the general merchandise manager's (judge's) questions, the general merchandise manager (judge) will conclude the meeting by thanking you for your work.

Possible Judge's Questions:

1. Why should a retailer pay attention to national consumer spending numbers instead of just our own sales?
2. If we buy less inventory and demand turns out strong, what happens to our prices and our customers?

Rate the participants' ability to:		Novice	Developing	Proficient	Exemplary	Judged Score
PERFORMANCE INDICATORS						
1.	Discuss the measure of consumer spending as an economic indicator.	0-1-2-3	4-5-6	7-8-9	10	
2.	Explain the principles of supply and demand.	0-1-2-3	4-5-6	7-8-9	10	
3.	Explain how organizations adapt to today's markets.	0-1-2-3	4-5-6	7-8-9	10	
4.	Explain factors that influence customer/client/business buying behavior.	0-1-2-3	4-5-6	7-8-9	10	
5.	Explain the importance of merchandising to retailers.	0-1-2-3	4-5-6	7-8-9	10	
SOLUTION						
6.	**Unique** Demonstrate original thinking, fresh perspectives and an insightful approach.	0-1-2	3-4-5	6-7	8	
7.	**Practical** Develop an actionable/viable solution in a real-world context.	0-1-2	3-4-5	6-7	8	
8.	**Effective** Develop a solution that achieves relevant outcomes	0-1-2	3-4-5	6-7	8	
CAEREER COMPETANCIES						
9.	**Critical Thinking** Think critically to understand and solve problems	0-1	2-3	4-5	6	
10.	**Communication** Communicate clearly, effectively and with reason.	0-1	2-3	4-5	6	
11.	**Decision Making** Consider the impacts of decisions.	0-1	2-3	4-5	6	
OVERALL IMPRESSIONS						
12.	Demonstrate overall career readiness through professionalism, poise and confidence.	0-1-2	3-4-5	6-7	8	
					TOTAL SCORE	